new anti-missile defence system in Eastern Europe on the borders of Russia. The New Great Game – the contest of Russia, the USA, the EU, China and militant Islam for control over the oil resources of the Caspian region and Central Asia – started. As if all this was not enough to undermine Russia's national security, the West announced its plans to include Ukraine and Georgia in NATO. This would effectively make Russia permanently insecure and threaten its very existence.

The essence of Western policy is the struggle to deprive Russia of its semi-peripheral status and make the country another purely peripheral society. By starting the second Chechen war, defeating Georgia in 2008 and then returning Crimea to Russia in 2014, Putin met the Western challenge. Another aspect of his policy was the project of Eurasian reintegration, which already involves Belarus and Kazakhstan. His aim was not to revive the Soviet Union or to start a new Cold War. Instead Putin simply seeks to secure the position of Russia as a regional power or as a semi-peripheral state.

In all of this, the Putin era does not represent a disjuncture with Yeltsin's. They relate as processes of becoming and being. Putin's strategy objectively involves him in deeper and deeper confrontations with the West. Up until the present, he has managed to use oil revenues and play on contradictions among Western countries. But in the long run, the fundamental weaknesses of Russia's semi-peripheral status will increasingly tell. Russia's comprador capitalist class is very vulnerable to Western pressure. A weak economy with a ruined manufacturing sector dependent on world markets cannot provide enough resources for the military strength necessary to withstand a serious, full-fledged confrontation.

Conclusion

WSA, reconsidered in the light of Marxian theory, with its focus on surplus value creation and distribution, explains the phenomenon of modern Russian capitalism as a coherent social system. Insider rent as a concrete form of surplus value explains the aims of Russian firms, their mechanism of capital accumulation, social conflicts, economic development and the place of Russia in the world arena. The Western challenge makes all the weaknesses inherent in the new social order apparent. The only real way for Russia to survive and revive as a viable society is to completely abandon capitalist development and move to democratic socialism. Only a mass radical left party imposing social control over big business and introducing national planning would be able to meet the historical challenges that Russia is facing today.